

per cent of active US equity funds beat their benchmarks over the ten-year period ending December 2016.

India is an example of a market that is moving in the direction of the American and European markets. There is still information asymmetry, but it is reducing gradually. From massive outperformance a decade ago, actively managed funds in India struggle to eke out meaningful outperformance today. And even that little bit of outperformance is under threat as SEBI, the market regulator, ramps up its vigilance.

To be more specific, the Indian market regulator now has sharper teeth compared to the pre-SEBI era where stock manipulation was rampant. According to Pawan Agarwal, a veteran stock broker, ‘The nexus of brokers had its heydays in the late 1990s and early 2000s. Money was being made and lost by rigging up prices all the way up and then down. While brokers, in cahoots with the promoters were making a lot of money, innocent investors were burning their hands. These shady practices are one of the reasons why stock market investing never took off among Indian retail investors.’

### ***The ‘Alpha Squeeze’ in Indian mutual funds***

Ambit Capital has delved deep to quantify the outperformance or ‘alpha’ that the large-cap equity mutual funds have generated in the past. To test the hypothesis of whether alpha in India has fallen over time (as it did in the West), we divided the performance across two time periods: the long past (1991–2009) and the recent past (2010 to 2017).

[Exhibit 24](#) shows the outperformance of the large-cap equity funds between January 1991 and December 2009. Large-cap funds have given meaningful outperformance in this period. On a median basis, there is an Alpha of 4.7 per cent per annum in the five-year and 1.1 per cent per annum in the ten-year rolling periods.